

Audit and Inspection Report on the accounts of the office of the Executive Engineer, B&R division, HPPWD, Karsog, Mandi for the year 2023-24. (period from 07/2021 to 06/2023)

Part-I

(A)

Introductory

The State Public Works Department (PWD) is responsible for planning, construction and maintenance of roads, bridges and buildings (residential and non-residential) for various Government departments and execution of civil engineering works on behalf of local bodies, public undertakings, boards, etc., as deposit works. The construction of roads and bridges is the main activity of the Department. Constructions of roads are taken up under both Central Sector (National Highways) and State Sector (State Highways, Major District Roads and Other Rural Roads). The activities of the Department include construction of roads under the Central Road Fund (CRF), *PradhanMantri Gram SadakYojana* (PMGSY) of the Government of India (GOI), National Bank for Agriculture and Rural Development (NABARD) Loan and Other Roads under State Plan. Besides this, construction works of buildings for various Government departments/ agencies are also undertaken by the Department as deposit .

(B) Geographical jurisdiction.

The office is situated at Karsog, under the jurisdiction of Distt. Mandi of Himachal Pradesh.

(C) Overall hierarchy of department

Administrative control of the department lies with the Pr. Secretary (HPPWD) to the Government of Himachal Pradesh who is assisted by Engineer in Chief, Chief Engineers of different zones, Superintending Engineers at different circles and Executive Engineer who is further assisted by the Assistant/Junior Engineers. The following subdivisions were functional under the administrative control of divisional office:

1. HPPWD sub division Karsog
2. HPPWD sub division Pangna
3. HPPWD sub division Churag

(D) Budget & Expenditure: The details of budget allotment and expenditure incurred during the period covered under audit were as under:

(Amount in lakh)

S. No.	Year	Budget allocation	Expenditure
1.	2020-21	4458.42	4057.98
2.	2021-22	14465.53	4791.75
3.	2022-23	4642.05	4399.35
4.	2023-24 (upto 06/2023)	2427.65	3896.81
	Total	25993.65	17145.89

(E) Incumbency

The charge of the office during the period covered under audit was held following officer.

Sr. No.	Name of Officer	Period
1	Er. Maan Singh	07.07.2018 to 26.05.2020
2	Er. Arvind Kumar Bhardwaj	26.05.2020 to till date

(F) Scope of audit

A test check of general examination of accounts of Executive Engineer, B&R division HPPWD, Karsog, Mandi Himachal Pradesh for the period from July 2021 to June 2023 was conducted by an audit party, headed by Sh. Balbir Chand, Sr. Audit Officer, assisted by Sh. Vikram Singh, Assistant Audit Officer and Sh. Ramesh Chand, Supervisor, w.e.f. 05.07.2023 to 13.07.2023 (8 working days).

(G) Sampling Procedure:

The months of 03/2022 and 03/2023 were selected for detail check on the basis of highest expenditure incurred during this period.

(H) Records checked

Records produced and test checked by audit party are Cash Book, records regarding Pay Bill Register, Medical Reimbursement Register, TA Register, Stationery Register, Budget allotment files, and gathering information by issuing of audit memos. Audit conclusion was drawn on the basis of analysis of data and replies received from the department. The audit and inspection report has been prepared on the basis of information supplied and records made available by the Executive Engineer. The Pr. Accountant General disclaims any responsibility for non-supplying of information or misinformation on the part of auditee. The results of the audit have been given in the succeeding paragraphs.

The results of the current audit have been incorporated in the succeeding paragraphs.

PART-II
(Audit Findings)
PART-II-(A)
(Significant Audit Findings)

Reference Number: OBS-773433

Para 1: Deficient planning for construction of Industrial Training Institute building at Karsog, led to unfruitful expenditure of ₹ 374.25 lakh, Non-levy of compensation for delay in completion of work ₹ 56.37 lakh, Non-obtaining of performance security ₹ 28.18 lakh, Unauthorized and irregular advance payments ₹ 57.00 lakh and non-recovery of advance of ₹ 18.00 lakh, Incorrect accounting and non-adjustment of advance payments of ₹ 57.00 lakh, Non-recovery of material (cement and tor steel) Rs.29.60 lakh, Blockade of funds in depository head Rs.110.48 lakh, Excess execution of items without the approval of Higher competent authority ₹41.60 lakh, Application of higher rate than the approved rate resulted in excess payment of ₹ 3.60 lakh, Short-recovery of royalty Rs.56174/- and Short-recovery of useful stone ₹ 69465/-.

To provide sufficient accommodation to students and staff of Industrial Training Institute Karsog, the Principal Secretary (Technical Education) to the Government of Himachal Pradesh accorded ([22nd June 2016](#)) administrative approval and expenditure sanction of ₹ 7,99,95,000/- for construction of building of Industrial Training Institute, Karsog, District Mandi having plinth area of 2877.05 Square metre Ground floor (264.54Sqm.), First floor (981.20 Sqm.), Second floor (981.20 Sqm) and third floor (782.00 Sqm.). The scope of work include building portion i/c W.S. & S. I., EI and site development, c/o boundary wall & gate, C/o rain harvesting system, solar water heating system, planting and electrification and construction of approach road. The Chief Engineer (Mandi Zone) [accorded](#) (17th December 2016) technical sanction of ₹ 4,29,16,447/- for construction of ITI building at Karsog (SH: site development, C/o civil works, WS & SI, rain water harvesting tank and 300 user septic tank. Further Chief Engineer (MZ) approved Detailed Notice Inviting Tender (DNIT) of ₹ 4,31,22,086/- for site development, C/o civil works, WS & SI, rain water harvesting tank and 300 user septic tank. During scrutiny of record following were noticed:

- i. **Inordinate delay in inviting of tender and award of work:** Audit noticed that the division had taken more than 12 months to publish the tender document. Further, the department had taken more than four months to award the work to contractor from the date of [\(9th February 2018\)](#) opening of technical and financial bid. This showed the lackadaisical approach of the department for construction of ITI building. The Executive Engineer [stated](#) that due to change in site and design specifications there was delay in inviting of tender. The reply is not acceptable as there was not change in site; hence the reply of the Executive Engineer is self-explanatory that he had not taken any interest in timely construction of work.
- ii. **Non-providing of minimum time for bidders to participate in bidding process and to arrive at more competitive rates:** As per Rule [106](#) of Himachal Pradesh Financial Rules, 2009, ordinarily, the minimum time to be allowed for submission of bids should be three weeks from the date of publication of the tender notice or availability of the bidding document for sale, whichever is later. Where the department also contemplates obtaining bids from abroad, the minimum period should be kept as four weeks for both domestic and foreign bid. Audit, however, noticed that the division had published (1st February 2018) online tender for inviting of bids for construction of ITI building at Karsog. The time allowed for submission of technical & financial bids was only seven days (01-07-2018 to 07-02-2018) instead of 21 days (three weeks). Thus, the purpose of ibid rule is to make the tender process fair for all and to make it as transparent as possible and to arrive at more competitive rates was denied and resulted in undue favour. No [reply](#)/justification to this point has been given by the Executive Engineer.

- iii. **Unfruitful expenditure of ₹ 374.25 lakh:** The construction work of ITI Building at Karsog (SH: C/o site development, C/o civil works, WS & SI, rain harvesting tank and 300 user septic tank) was [awarded](#) (26th June 2018) vide agreement no. 47 of 2018-19 to Sh. Rajesh Thakur, Government contractor resident of Shiv Sadan Sanjauli District Shimla for ₹ 5,63,68,076/- which was 30.72 percent above the amount put to tender. The work was to be completed in two years i.e. upto 10.07.2020. The date of start of work as per agreement was 11-07-2018. It was further noticed that only 33 percent building work done with a cost of ₹ 3,74,25,419/- upto 9th running bill entered in MB no. [3082](#) from page 15 to 25 including cost of 10CC (1st 10CC ₹ 2,19,680/- and 2nd 10CC ₹ 4,51,706/-) and advance payment (₹ 18.00 lakh). Further, during the course of excavation for foundation for Block B outer row of columns, very loose strata has been encountered and sound soil strata is available at a approx. depth of 8.00 metre from natural surface level. Chief [Architect](#) O/o Chief Architect (CZ) HPPWD Mandi revised and sent (9th November 2020) working drawings to the Director Technical Education and the [Director](#) Technical Education had returned (17th November 2020) the same drawing to the Executive Engineer for further necessary action but the work is still lying incomplete even after a lapse of 31 months from the date of revised drawing received which indicated that both the contractor and department were liable for delay in construction of ITI building. The Executive Engineer [stated](#) that revised drawings were given to the contractor but he failed to complete the work within the stipulated period.
- iv. **Non-levy of compensation for delay in completion of work ₹ 56.37 lakh:** As per [clause](#) 2 of contract agreement signed between contractor and Executive Engineer, Compensation of ₹ 56,36,807/- (10 per-cent of 5,63,68,076/-) was required to be levied for delay in completion of work against which the department had not levied the compensation which not only resulted undue favor but also resulted inordinate delay in completion of ITI work even after providing the revised drawings of block B. The Executive Engineer [stated](#) that department was mulling administrative action against the contractor and levying of compensation on the erring contractor.
- v. **Unauthorized and irregular advance payments ₹ 57.00 lakh and non-recovery of advance of ₹ 18.00 lakh:** Central Public Works Account (CPWA) have provision for three kinds of advances – [mobilization advance](#) for specialized and capital-intensive works, [secured advance](#) on security of materials brought to site, and [advance payments](#) for “work executed but not measured.” Both Codes direct that “advances to contractors are as a rule prohibited and every endeavor should be made to maintain a system under which no payments are made except for works done”. For advance payments in respect of “work executed but not measured”, the Punjab PWD Code stipulates that government sanction is mandatory, while the [CPWD Works Manual](#) stipulates that sanction of at least Superintending Engineer (SE) is mandatory. Such advance payments should be followed by detailed measurement within two months at the most with a view of adjusting the advance within three months from the date it was made. [CPWD Works Manual](#) also stipulates that a second advance before recovering the first one should only be permitted in very exceptional circumstances.
- Audit noticed that the Executive Engineer made [advance payment](#) of ₹ 57.00 lakh (₹ 23.00 lakh page no. 62 dt. 20.12.20, ₹ 24.00 lakh page no. 99 dated 19.08.21 and ₹ 10.00 lakh at page no. 100 of MB no. 2805 dated 1.12.21) out of this recovery of ₹ 39.00 lakh (₹ 6.00 lakh 5th RA, ₹ 2.00 lakh 6th RA, ₹ 14.00 lakh 8th RA and ₹ 11.00 lakh 9th RA) was recovered from the running bill of the contractor and remaining recovery of ₹ 18.00 lakh had not been effected from the contractors running bill as of now. The Executive Engineer [stated](#) that recovery would be effected from the next running bills of the contractors.
- vi. **Incorrect accounting and non-adjustment of advance payments of ₹ 57.00 lakh:** Under [clause 10.5.14](#) of CPWA Code (Followed by HP State Government), advance payments made to a contractor should not be charged as final outlay on the work. A suspense head, “Contractors – Advance Payments”, should be opened in the Works Abstract for the record of advance payments and their subsequent adjustments. [Clause 10.2.23](#) of CPWA Code prescribes that Divisional Officer should submit a monthly statement for the information of the SE concerned giving details of advances made to contractors for work done but not measured so that clearance may be watched. Audit noticed that the three [advance payments](#) of ₹ 57.00 lakh (₹ 23.00 lakh, ₹ 24.00 lakh and ₹ 10.00 lakh had been charged directly to the work instead of

placing in Suspense Head “Contractors - Advance Payment” in violation of the above provision. This meant that monitoring of status of the advance payments was dispensed with and adjustment/recovery of the same could not be watched.

- vii. Non-recovery of material Rs.29.60 lakh:** Audit noticed that the division had **issued** cement (18911 bags) and tor steel (219.482MT) to the contractor for construction of ITI building against which the contractor had **utilised** cement (17298 bags) and tor steel (155.125 MT) for which recovery was made good from the contractors running bills and recovery of ₹ 29,60,422/- had not been effected from the contractor as of now. It was further noticed that the cement issued to the contractor was lying unutilised with the contractor more than the life cycle (three months) which resulted in loosing of strength of the cement. The Executive Engineer stated that recovery would be effected from the running bills of the contractors.

Name of material	Issued	Consumed	Balance with contractor	Rate (in Rs)	Amount (in Rs)
Cement (bags)	18911	17298	1613	295	475835
Tor steel (MT)	219.482	155.125	64.357	46000	29,60,422

- viii. Short-recovery of royalty Rs.56174/-:** As per **HP Mineral Rule 2015** and instructions issued by the state government X and M form was required to be obtained while releasing the payments to the contractor. As per Principal Secretary (PW) to the Government of HP issued instruction in connection with **CWP** no. 2593/2020 dated 16-07-2020 titled as Daljeet Singh Pathania V/S state of HP and others, production of form X & W form may be adhered strictly while releasing the payments to the contractor. As cabinet decision (9th February 2022) if any person not being a mining lease holder and violated Rules and could not provide transit form shall be liable to pay royalty at the applicable rates and penalty at the rate of 25 percent of royalty applicable. Audit noticed that the division had neither been obtained “X/W” forms from the contractor nor deducted recovery of royalty of Rs. 56174/- from the running bills of the contractors as per **detail** given in the following table. The Executive Engineer **stated** that recovery would be made from the next running bill of the contractor.

Name of mineral	9 th Running bill		8 th running bill		Balance quantity	Rate including 25 percent penalty	Amount (in Rs)
	MB no. & page	Quantity consumed	MB no. & page	Quantity consumed			
Sand	3082/24	3967	3082/8	3595.36	371.64	100	37164
Aggregate		7742.15		7689.10	53.05	100	5305
Stone		989.00		8851.95	137.05	100	13705
Total		12698.15		20136.41	561.74		56174

- ix. Short-recovery of useful stone ₹ 69465/-:** As per **schedule of quantity** 6855.00 cum metre cutting in earth work in all heights and depths in all kind of soil was to be done and on this quantity recovery of useful stone of 685.50 cum @ ₹ 300 per cum was to be recovered from the contractors running bill on pro rata basis against which contractor had done cutting of 12946.17 cum as per entry made in MB no. 3082 page no. 16. On executed quantity of 12946.17 cum cutting in earth work, recovery of ₹ 3,88,383/-of useful stone 1294.61 cum

(12946.17/6855x685.50) @ ₹ 300 per cum was required to be effected from the running bill of the contractor against which recovery of ₹ 3,18,918/- of 1063.06 cum (MB no. [2805](#) page no. 6) was made good which resulted in short-recovery of ₹ 69,465/- (1294.61-1063.06 = 231.55 cum). The Executive Engineer [stated](#) that recovery of useful stone would be effected from the next running bill of the contractor.

- x. **Non-obtaining of performance security ₹ 28.18 lakh:** As per rule-134 of Himachal Pradesh Financial Rules, 2009, to ensure due performance of the contract, Performance Security is to be obtained from the successful bidder(s) on the award of the contract. Performance Security is to be obtained from every successful bidder irrespective of its registration status etc. Performance Security should be for an amount between five to ten per cent of the value of the contract. Such Security may be furnished in the form of an Account payee Demand Draft, Fixed Deposit Receipt from a scheduled commercial bank, Bank Guarantee from a commercial bank in an acceptable form safeguarding the purchasers' interest in all respects. Performance Security should remain valid for a period of sixty days beyond the date of completion of all contractual obligations of the supplier including warranty obligations. Audit, however, noticed that performance security of ₹ 28,18,403/- (₹ 5,63,68,076/-X 5%) was to be obtained from the contractor against which no performance security was obtained from the contractor which resulted in undue favour to contractor. The Executive Engineer [stated](#) that contractor would be instructed to furnish performance security with immediate effect.
- xi. **Blockade of funds in depository head Rs.110.48 lakh:** During audit it was noticed that client department Technical Education had deposited ₹484.73 lakh with the Executive Engineer HPPWD Karsog for construction of ITI building as per detail given in the following table out of which an amount of ₹374.25 lakh were spent for the construction work of ITI building and remaining funds of ₹110.48 lakh was lying unspent in "depository head 8443".

Letter No. and Date	Amount Deposited (in Lakh)
2638 dt. 18.06.15	57.97
6208 dt 5.9.16	50.00
31.03.2016	15.00
10690 dt.12.11.15	10.00
763 dt. 23.05.20	50.00
763 dt. 23.05.20	81.76
8675 dt. 24.12.20	100.00
12400 dt. 29.03.2022	80.00
7209 dt. 09.09.2022	40.00
Total	484.73

- xii. **Excess execution of items without the approval of Higher competent authority ₹41.60 lakh:** Principal Secretary (PW) to the Government of Himachal Pradesh vide [standing order no. 1/2001](#) amendment 2004 PBW (B&R) (B)17(G)1/2001 dated 27-10-2004 had clearly stated that it shall be the duty and responsibility of concerned XEN to execute the work without any deviations. If any deviation is necessitated, prior approval in writing of the competent authority shall be obtained before executing such deviations and incurring expenditure or creating financial liability. Timely steps were required to be taken by XEN to enforce contract agreement clauses strictly and unusual circumstances should be brought to the notice of SE and CE concerned. It shall also be the duty and responsibility of SE to monitor and inspect the works

to ensure that deviations do not taken place and wherever he is convinced that deviations are unavoidable, he should take remedial measures. Besides this, if any work is carried out by the contractor beyond the scope of agreement, it shall be deemed to have been done with the approval/consent of the concerned Executive Engineer and such officer will be liable to meet the burden of such additional financial liability.

Audit, however, noticed that some items as per detail given in the following table were executed in excess of the approved schedule of quantity/agreement without getting the approval of the Chief Engineer which was irregular and no Justification/revised RD wise estimate was prepared by the division as of now. Thus, execution of excess quantity of various items had resulted in irregular expenditure of ₹41,59,696/-.

Item no.	Quantity to be executed as agreement	Unit	Quantity actually executed	MB no. & page	Excess quantity executed	Rate	Amount
1/1	6855	cum	12496.17	3082/16	5641.17	150.00	846175.50
6/6	2858.40	cum	3516.30	3082/17	657.90	2700	1776330
7/7	3.55	cum	75.20	3082/17	71.65	3100	222115
8/8.04	237.17	Sqm	719.72	3082/18	482.55	300	144765
9/9.01	272.86	cum	414.12	3082/19	141.26	6005.15	848287.49
9/9.03	91.04	cum	146.323	3082/19	55.283	5825	322023.48
	Total						4159696.47

xiii. Application of higher rate than the approved rate resulted in excess payment of ₹ 3.60 lakh:

During test check of record it was noticed that an amount of ₹ 3,59,623/- was overpaid to the contractor due to application of higher rate of items than the approved rate as per detail given in the following table.

Item no.	Unit	Quantity actually executed	MB no. & page	Approved rate	Rate	Excess rate paid (amount in Rs)	Overpayment (amount in Rs)
9/9.01	cum	414.12	3082/19	5400	6005.15	605.15	250604.72
9/9.03	cum	146.323	3082/19	5400	5825	425	62187.275
9/9.04	cum	80.36	3082/19	5350	5845.60	495.60	39826.416
9/9.05		10.77	3082/19	5350	6000.41	650.41	7004.917
Total							359623.328

xiv. Non test check of measurements: The measurements recorded by the subordinate officials should be test checked by the Assistant Engineer and Executive Engineer to the extent of 50% and 10% respectively. It was, however, noticed that the Executive Engineer has not test checked the record entries of measurements in the MBs. Reasons for not carrying out the required test check of measurements recorded in MBs be stated.

xv. Non maintenance of site order book: Para 25.1 of CPWD works manual provides maintenance of Site Order Books. The Site Order Books shall be maintained in the form prescribed in Appendix 27. The Site Order Book shall be printed and its pages machine numbered and issued

by the Executive Engineer in different sizes containing sufficient number of pages, depending upon the magnitude of the work. A flyleaf should be attached with each Site Order Book containing instructions regarding maintenance of Site Order Books. These will be maintained properly and preserved for a period of 5 years or up to the time all disputes/arbitration cases of the work are finally settled, whichever is later, after completion of a work in the same manner as a Measurement Book. As far as the Executive Engineer and Assistant Engineer are concerned, they should invariably sign the Site Order Book in token of their having read all the instructions issued by various Officers and replies made thereto. In case the Executive Engineer or Assistant Engineer himself wants to give any instructions, he should record them in the Site Order Book. In regard to important matters, they may find it necessary to communicate such orders even in writing in the form of inspection notes. The Junior Engineer/Assistant Engineer should also record his observations in the Site Order Book if he finds any defective work going on, or if the contractor is not complying with any of the terms of the contract, or on the slow progress of work, if any. The Site Order Book should be maintained at the site of the work, and it should never be removed from there under any circumstance. The Executive Engineer should also periodically review the Site Order Book to ensure that it is being properly maintained and used. The Site Order Book should be consulted at the time of making payments to the contractor. The Assistant Engineer should record the certificate on the bill(s) submitted by the contractor to the effect that the Site Order Book has been verified before signing such bill(s). This would enable the Assistant Engineer to ensure whether the defects pointed out during construction have been rectified or not, and also to propose part rates, if necessary, before the payments are made for the items of work for which defects were pointed out but have not been rectified. However it was noticed that neither the site order book was maintained at the site nor the record of any inspections was recorded.

xvi. ***Non-inclusion of list of mandatory quality control tests in the tender and contract documents.*** A list of mandatory tests should be prepared and attached with the tender documents. This would help to ensure quality control in the works, as contract conditions are legally binding on both the contractor and the department. Audit noticed that the tendering authorities did not incorporate the list of mandatory quality control tests.

xvii. ***Payment of bills without test-reports:*** Test report of sample was to be enclosed with the bills and until the test-reports are as per norms, payments should not be made. Audit, however, noticed that the division had paid ₹ 10.57 crore to the contractor without quality tests reports being submitted by the contractor.

It is evident from the above that the department had extended undue favour to the contractor with overall financial implication of ₹ 133.40 lakh (Non-levy of compensation for delay in completion of work ₹ 56.37 lakh, non-recovery of advance of ₹ 18.00 lakh, Non-recovery of material (cement and tor steel) Rs.29.60 lakh, Short-recovery of royalty Rs.0.56 lakh, Short-recovery of useful stone ₹ 0.69 lakh, Non-obtaining of performance security ₹ 28.18 lakh). Thus, the desired facility of sufficient accommodation to students and teachers of the Industrial Training Institute had not been made available year together due to slow progress shown by the contractor and lackadaisical approach of the department to construct the building of ITI as of now which also resulted in unfruitful expenditure of ₹ 374.25 lakh.

Reference Number: OBS-773434

Para 2: Unproductive expenditure of ₹ 15.23 crore on incomplete combined office building at Karsog due to delay in according of technical sanction and award of work, creation of liability of ₹ 8.06 crore, Cost escalation ₹ 7.43 crore due to time overrun and Short-recovery of royalty ₹ 3.95 lakh

To provide all Government Services under one complex to the public of the area, Secretary General Administration Department (GAD) to the Government of Himachal Pradesh accorded ([3rd May 2016](#)) administrative approval and expenditure sanction of ₹ 1485.54 lakh for construction of combined

office building at Karsog District Mandi having total covered area of 9353.08 Square meters which include construction of five stories building portion including water supply & sanitary installation (WS and SI), boundary wall, gate and approach road, rain water harvesting system, lifts system, firefighting system, supply of power, yard lighting, landscaping and external water supply and sewerage system. The Chief Engineer (Mandi Zone) accorded ([14th September 2020](#)) technical sanction of ₹ 14,27,73,503/- for construction of Combined Office Building at Karsog (SH: construction of building portion, water supply & sanitary installation, septic tank, soak pit, rain water harvesting system and site development The work was to be completed within eighteen months. During audit following were noticed:

i. Inordinate delay in according of technical sanction: The Chief Engineer (MZ) [accorded](#) ([14th September 2020](#)) technical sanction of ₹ 14,27,73,503/- for construction of Combined Office Building at Karsog (SH: construction of building portion, water supply & sanitary installation, septic tank, soak pit, rain water harvesting system and site development) after lapse of more than 52 months from the date of administrative approval and administrative approval. Delay in grant of technical sanction not only resulted in delaying the project but also resulted in cost escalation. The Chief Engineer (MZ) [approved](#) ([20th November 2020](#)) Detail notice inviting Tender (DNIT) of ₹ 14,27,73,436/- for the ibid work. The Executive Engineer [stated](#) that delay in obtaining of technical sanction was occurred due to change in drawings and specifications. The reply is not acceptable as no such documents were produced to audit to ascertain that the delay had actually done due to change in drawing and specifications.

ii. Delay in award of work: The construction work of Combined Office Building at Karsog (SH: construction of building portion, water supply & sanitary installation, septic tank, soak pit, rain water harvesting system and site development) was [awarded](#) ([8th November 2021](#)) to M/s Unipro 313-A Mahesh Nagar Ambala Cantt- 133001 (Haryana) for ₹ 19,41,91,739/- which was 36.01 **per cent** above the amount put to tender. The department had taken more than 11 months to award the work to contractor (tendering process) which showed lackadaisical approach of the department. The work was required to be completed within eighteen months which should be reckoned from the 15th days from the date of issue of award letter i.e. upto 23rd may 2023. The Executive Engineer [stated](#) that delay in award of work was occurred due to change in drawings and specifications. The reply is not acceptable as no such documents were produced to audit to ascertain that the delay had actually done due to change in drawing and specifications.

iii. Unproductive expenditure of ₹ 15.23 crore and creation of liability of ₹ 8.06 crore: [Section 3.4 \(8\)](#) of CPWD Manual 2014 (followed by Hp state Govt.) stipulate that the Executive Engineer should ensure that at any time during the progress of the work, the expenditure is not more than the deposits received for the work. Where the Executive Engineer is doubtful about the timely receipt of deposits, he should notify the client that if further deposit is not received, the work would be stopped, and any contractual liability arising out of such stoppage of work will be borne by the client. He should also bring this to the notice of his higher officers for taking up the matter with the client.

Audit noticed that the contractor had laid 4th storey slab and brick work is in progress with the cost of ₹ 15,22,95,296/- upto 2nd running bill as per record entry made in MB no. [3073](#) page 14. The Executive Engineer had released gross payment of ₹ 10,56,77,603/- against the work done of ₹ 15,22,95,296/- which resulted in liability of ₹ 8,06,23,928/-.

iv. Non-providing of sufficient fund by the client department resulted in delay in completion of project and cost escalation: The Director Land Records Himachal Pradesh provided only ₹ 661.69 lakh (46 **per cent**) against the technical sanction of ₹ 1427.74 lakh which resulted in short-release of funds ₹ 766.05 lakh (54 **per cent**) as per detail given in the following table.

Year	Funds provided (amount in Rs)
2014-15	5.00
2015-16	6.00

2016-17	100.00
2017-18	20.00
2018-19	40.00
2019-20	0.00
2020-21	23.00
2021-22	5.37
2022-23	467.32
Total	666.69

v. Cost escalation ₹ 7.43 crore: Test check of record showed that site for the construction of Combined office building at Karsog was changed and plinth area of the building was increased from 4246.95 Sqm to 9353.80 Sqm. Further, the Superintending Engineer had [submitted](#) (17th March 2023) revised estimate of ₹ 35,70,79,844/- to the Chief Engineer (Mandi Zone). Audit noticed that the rates of the building portion including WS &SI, EI and Site development was ₹ 24436/- per Sqm at the time of administrative approval and expenditure sanction and the rates taken in revised estimation was taken as CPWD rates 2021. As pre-revised rates the cost of building portion including WS &SI, EI and Site development was ₹ 22,85,69,457/- whereas, as per revised rates the cost of building portion including WS&SI, EI and site development was ₹ 27,13,94,428/-. Further provision of ₹ 1,28,18,765/- on account of escalation was taken in revised estimate in excess of previous provision. It was further noticed that provision of ₹ 1,86,70,025/- on account of GST was also taken in revised estimate whereas the rates of agreement was inclusive of GST. Thus, escalation of ₹ 7,43,13,761/- would have to bear by the state government due to the lackadaisical approach of the departments (Revenue and HPPWD) like non-selection of proper site, non-preparation of estimates and drawing in time bound manner, delay in providing of technical sanction, delay in award of work, non-providing of sufficient funds by the client department to the HPPWD department. The Executive Engineer stated that cost got escalated due to delay between the approval of estimates and actual execution of work due to site dispute and tendering process. The reply is not acceptable as all the formalities should have been completed in time bound manner to avoid delay in execution of work and cost escalation.

vi. Short-recovery of royalty ₹ 3.95 lakh: As per HP Mineral Rule [2015](#) and instructions issued by the state government X and M form was required to be obtained while releasing the payments to the contractor. As per Principal Secretary (PW) to the Government of HP issued instruction in connection with CWP no. 2593/2020 dated 16-07-2020 titled as Daljeet Singh Pathania V/S state of HP and others, production of form X & W form may be adhered strictly while releasing the payments to the contractor. As cabinet decision (9th February 2022) if any person not being a mining lease holder and violated Rules and could not provide transit form shall be liable to pay royalty at the applicable rates and penalty at the rate of 25 percent of royalty applicable.

Audit, however, [noticed](#) that the division had neither obtained X&W forms of 3951.75 Metric tone of mineral nor deducted royalty of ₹ 3,95,175/- from the running bill of the contractor as per detail given in the following table which was irregular and in contravention of ibid rules. The Executive Engineer stated that recovery of royalty would be made from the contractors running bill and compliance would be shown.

(Amount in Rs.)

Running bill	MB no. & page	Name of mineral consumed	Quantity (in MT)	M for received (in MT)	Balance quantity for which M form	Rate	Amount

					not received (in MT)		
1 st	3073/4	Sand	1929.26	1970	0		0
		Aggregate	4211.88	2329	1882	80+20 penalty	188200
2 nd	3073/1 4	Sand	3828.74	3839	0		0
		Aggregate	6096.37	4765.00	1331.37	80+20 penalty	133137
		Stone	1865.38	1127.00	738.38	80+20 penalty	73838
		Total	17931.6 3	14030	3951.75		395175

vii. Non test check of measurements: The measurements recorded by the subordinate officials should be test checked by the Assistant Engineer and Executive Engineer to the extent of 50% and 10% respectively. It was, however, noticed that the Executive Engineer has not test checked the record entries of measurements in the MBs. Reasons for not carrying out the required test check of measurements recorded in MBs be stated.

viii. Non maintenance of site order book: [Para 25.1](#) of CPWD works manual provides maintenance of Site Order Books. The Site Order Books shall be maintained in the form prescribed in Appendix 27. The Site Order Book shall be printed and its pages machine numbered and issued by the Executive Engineer in different sizes containing sufficient number of pages, depending upon the magnitude of the work. A flyleaf should be attached with each Site Order Book containing instructions regarding maintenance of Site Order Books. These will be maintained properly and preserved for a period of 5 years or up to the time all disputes/arbitration cases of the work are finally settled, whichever is later, after completion of a work in the same manner as a Measurement Book. As far as the Executive Engineer and Assistant Engineer are concerned, they should invariably sign the Site Order Book in token of their having read all the instructions issued by various Officers and replies made thereto. In case the Executive Engineer or Assistant Engineer himself wants to give any instructions, he should record them in the Site Order Book. In regard to important matters, they may find it necessary to communicate such orders even in writing in the form of inspection notes. The Junior Engineer/Assistant Engineer should also record his observations in the Site Order Book if he finds any defective work going on, or if the contractor is not complying with any of the terms of the contract, or on the slow progress of work, if any. The Site Order Book should be maintained at the site of the work, and it should never be removed from there under any circumstance. The Executive Engineer should also periodically review the Site Order Book to ensure that it is being properly maintained and used. The Site Order Book should be consulted at the time of making payments to the contractor. The Assistant Engineer should record the certificate on the bill(s) submitted by the contractor to the effect that the Site Order Book has been verified before signing such bill(s). This would enable the Assistant Engineer to ensure whether the defects pointed out during construction have been rectified or not, and also to propose part rates, if necessary, before the payments are made for the items of work for which defects were pointed out but have not been rectified. However it was noticed that neither the site order book was maintained at the site nor the record of any inspections was recorded.

ix. Non-inclusion of list of mandatory quality control tests in the tender and contract documents. A list of mandatory tests should be prepared and attached with the tender documents. This would help to ensure quality control in the works, as contract conditions are legally binding on both the contractor and the department. Audit noticed that the tendering authorities did not incorporate the list of mandatory quality control tests.

x. **Payment of bills without test-reports:** Test report of sample was to be enclosed with the bills and until the test-reports are as per norms, payments should not be made. Audit, however, noticed that the division had paid ₹ 10.57 crore to the contractor without quality tests reports being submitted by the contractor.

Thus, lackadaisical approach of the department toward execution of the work had resulted in unproductive expenditure of ₹ 15.23 crore on incomplete combined office building at Karsog due to delay in according of technical sanction and award of work, creation of liability of ₹ 8.06 crore, Cost escalation ₹ 7.43 crore due to time overrun and Short-recovery of royalty ₹ 3.95 lakh.

PART-II-(B)
(Other incidental Audit Findings)

Reference Number: OBS-773440

Para 3: Unfruitful expenditure on incomplete link roads under Scheduled Caste Sub Plan (SCSP)- ₹ 1632.74 lakh

The Scheduled Caste Sub Plan seeks to improve the living conditions of Scheduled Castes through provision of drinking water supply, link roads, house site, establishment of educational, health, veterinary institutions etc. Road and connectivity is another important sector which affect the transport and communication of the villagers.

During test check of records it was noticed that [51](#) works costing to ₹ 3173.89 lakh administratively approved between December 1971 and March 2022 were lying incomplete after incurring an expenditure of ₹ 1632.74 lakh which not only resulted in unfruitful expenditure of ₹ 1632.74 lakh as per detail given in [Annexure-I](#) but also resulted in denial of road connectivity to the public of the area year together. The purpose to improve the living conditions of the SCSP has remained unachieved as of now. It was further noticed that the funds were not made available in one go to complete the work in time bound manner.

Thus, there was unfruitful expenditure due to lack of proper planning, non-availability of adequate funds, lack of continuous monitoring and non-reporting the progress.

In [reply](#) to audit enquiry no. 7 (AEQN-315164) the Executive Engineer while confirming the facts stated that the schemes mentioned in the audit enquiry would be reviewed and detailed reply of the same would be furnished to audit in due course of time.

Reference Number: OBS-773438

Para 4: Irregular expenditure without obtaining revised administrative approval and expenditure sanction ₹ 288.09 lakh, revised technical sanction 422.50 lakh and non-approval of deviations

[Revised](#) administrative approval and expenditure sanction was to be obtained where expenditure on a work exceeded the amount of sanctioned estimate by more than 10%, from the competent authority. Similarly, [revised](#) technical sanction was also required to be obtained where deviation exceeded beyond 10 percent of the sanctioned estimate. Principal Secretary (Public Works) to the Government of Himachal Pradesh vide standing order no. 1/2001 amendment 2004 PBW (B&R) (B)17(G)1/2001 dated [27-10-2004](#) had clearly stated that it shall be the duty and responsibility of concerned Executive Engineer (XEN) to execute the work without any deviations. If any deviation is necessitated, prior approval in writing of the competent authority shall be obtained before executing such deviations and incurring expenditure or creating financial liability. Timely steps were required to be taken by XEN

to enforce contract agreement clauses strictly and unusual circumstances should be brought to the notice of Superintendent Engineer (SE) and Chief engineer (CE) concerned. It shall also be the duty and responsibility of SE to monitor and inspect the works to ensure that deviations do not taken place and wherever he is convinced that deviations are unavoidable, he should take remedial measures. Besides this, if any work is carried out by the contractor beyond the scope of agreement, it shall be deemed to have been done with the approval/consent of the concerned Executive Engineer and such officer will be liable to meet the burden of such additional financial liability.

The State Government accorded (24th March 2007) administrative approval and expenditure sanction for construction of "Karsog Parlog road kms. 0/0 to 23/0 (F/C 5/7m wide road, C/D work) under Karsog Division, Distt. Mandi HP for ₹ 274.05 lakh The work was technically approved by Chief Engineer vide letter No. PW/SE/-R-25-24/KSG-Karsog Parlog road/2009/3829-31 dated 01-06-2009 for ₹ 13963962/- The work Karsog Parlog road kms. 0/0 to 23/0 (F/C 5/7m wide road, C/D work) under Karsog Division, Distt. Mandi HP was awarded to Shri Rajesh Thakur vide Executive [letter](#) No. PW-KSG-E-Tenders/2006-07-4855-59 dated 16-08-2007 for ₹ 179.41 lacs. The stipulated period of completion of the road was one year which shall be reckoned from 15th day of award of work. Thus work should be completed by 31-08.2008. The Work was stopped by the contractor due to forest land falling in the alignment of the road and the contractor [executed](#) F/C work in a length of 1200 meters and payment was made to him for Rs 17,68,861/- (1st running bill) . The contractor had not completed the work and the work had been recind vide letter No. 20348-52 dated 16.02.2009 under clause 3(a) of contract agreement. The contractor sought the arbitration and filed his claims before the Hon,ble Arbitrator on 15.12.2010. The Hon,ble Arbitrator announced the award on dated 12.11.2013 for Rs 38,78,000/-. On account of award announced by Ld. Arbitrator A bank draft No 390446 dated 26.07.2014 amounting to Rs 38,78,000/- was submitted to Registrar General of Hon,ble HP High Court Shimla Further this work from RD 8/00 to 19/00 Km was awarded to Shri Munish Kumar Contractor vide Executive letter No. PW-KSG-E-Tenders/2009-10-13630-39 dated 02-12-2009 for ₹ 24371567/- without forest clearance. The stipulated period of completion of the road was one year which shall be reckoned from 15th day of award of work. Thus work should be completed by 16-12-2009. The contractor vide his letter NO. MS/1991 dated 27.02.2020 intimated that forest department objected to construct the road in forest land. The department failed to supply material, especially explosives for which contractor suffered loss for idle labour and equipments. The contractor completed the work with a cost of ₹ 505.67 lakh (completion cost ₹ 268.24 lakh, claim paid under 10CC ₹ 203.34 lakh, payment on account of GST: ₹ 34.09 lakh against the awarded amount of ₹ 243.72 lakh.

During audit it was noticed that Karsog Parlog road work kms. 0/0 to 23/0 (F/C 5/7m wide road, C/D work) under Karsog Division, Distt. Mandi HP was completed with a cost of ₹ 562.14 lakh against the administrative approval of ₹ 274.05 lakh and technical sanction of ₹ 139.64 which resulted in excess expenditure of ₹ 288.09 lakh (105 percent) and ₹ 422.50 lakh (303 percent) respectively. The Executive Engineer had not obtained revised administrative approval and expenditure sanction, revised technical sanction and got approved the deviation from the higher competent authority as of now. This is irregular and contrary to ibid instruction.

Particulars	Amount paid (₹ In lakh)	Particulars	Amount paid (₹ In lakh)
Rajesh Thakur, Contractor		Sh. Munish Sharma, contractor	
Amount paid for work done	17.69	Completion cost	268.24
Amount of arbitration	38.78	Claim paid under 10CC	203.34
Sub total	56.47	Payment of on account GST	34.09

		Sub-total	505.67
G. Total ₹ 562.14			

Further, the record such as agreements, measurement books, administrative approval and expenditure sanction, technical sanction and other related record was not produced to audit to scrutinize the case properly. Reply awaited.

Reference Number: OBS-773439

Para 5: Analysis of work

As per selection file approved by headquarters (AMG-III), the work of “Construction of SMS HDO Office at Karsog” was selected for detailed analysis. During scrutiny of records pertaining to the work, the following observations were made as detailed below:

Name of work	Construction of SMS HDO Office Karsog
Reference of A/A & E/S	The A/A and E/S of the work has been accorded by under secretary (Horticulture) Government of Himachal Pradesh vide his letter no. HTC-C (5)-5/2016 dated 28.03.2016 for Rs. 1,26,25,380/-
Reference to T/S	Not obtained
Awarded Amount	Rs. 130.76 lakh to Sh. Nitin Bhardwaj vide award letter no. PW-KSG-E-Tender/SMS/HOD Office/ 2021-22/8285-95 dated 19.01.2022
Actual Date of start of work	04.02.2022
Date of start of work as per agreement	04.02.2022
Stipulated period of Completion	12 months
Present status of work	In Progress
Executing Agency	Departmentally through Contractor
Funding agency	Deposit work
Expenditure incurred upto 06/2023	84.85 lakh

The year wise budget allotment and expenditure incurred on the work was as under:

(Amount in Lakh)

Sr. No.	Year	Budget	Expenditure
1	2016-17	1.00	0.00
2.	2017-18	1.00	0.00
3.	2018-19	8.54	0.00
4.	2019-20	30.14	0.00
5.	2020-21	5.00	0.00
6.	2021-22	0.00	6.86
7.	2022-23	34.68	45.65
8.	2023-24	45.90	32.34
	Total	126.26	84.85

Following discrepancies were observed while conducting the detailed analysis of the selected work.

i. Not obtaining technical sanction

As per [Section 2.5.1 \(a\)](#) of CPWD Works Manual, 2014, After receipt of administrative approval and expenditure sanction, detailed estimates are required to be prepared for technical sanction. The technical sanction should be accorded by the competent authority before a work is taken in hand. However, during scrutiny of records of the work under analysis, it was observed that no technical sanction for the work was obtained by the department and the department proceeded with the execution. This is in contravention to the *ibid* rules and requires justification.

ii. Delay in awarding of contract:

[A/A and E/S](#) of the work under analysis was accorded by under secretary (Horticulture) Government of Himachal Pradesh vide his letter no. HTC-C (5)-5/2016 dated 28.03.2016 for Rs. 1,26,25,380/-.

During scrutiny of records of the work under analysis, it was observed that the work was [awarded](#) to Sh. Nitin Bhardwaj vide letter no. PW-KSG-E-Tender/SMS/HOD Office/ 2021-22/8285-95 dated 19.01.2022. Thus there was an unnecessary delay of almost 6 years in awarding of the work. Thus, the department was lackadaisical in its approach in completing the work. This requires justification.

iii. Award of work at higher rate than the estimates

The [estimates](#) of the work were approved on 10.12.2020 for Rs. 81,15,210/- and the DNIT was called for the work under analysis at estimated cost. 81,60,779/- on 24.02.2021. However, the work was awarded to the contractor Sh. Nitin Bhardwaj vide [award](#) letter no. PW-KSG-E-Tender/SMS/HOD Office/ 2021-22/8285-95 dated 19.01.2022 for Rs. 130.76 lakh. which is Rs. 60.23 per cent more than the estimated cost. Thus, it can be seen that unrealistic estimates were prepared by the department and justification and analysis of rate was not properly done prior to tendering the work. This needs justification.

iv. Delay in completion of work

The work under analysis was awarded to contractor Sh. Nitin Bhardwaj vide letter no. PW-KSG-E-Tender/SMS/HOD Office/ 2021-22/8285-95 dated 19.01.2022 to be completed in 12 months i.e., the work was to be completed by January 2023. However, it was observed that the work is only 70 percent completed as per the progress report as on 06/2023. This requires justification.

v. Non levying of compensation: Rs. 6.53 lakh

As per [Clause 2](#) of the terms of the contract agreement, if the contractor fails to complete the work in time, compensation has to be levied at the rate of 1% per month to be computed on per day basis subject to maximum of 10 per cent.

As stated in point no. 4 above, the work was to be completed by January 2023 but as of 06/2023 the work is only 70 per cent completed. Thus compensation at the rate of 5 per cent (1 per cent per month) of the awarded amount was to be levied. The department had not levied compensation of Rs. 6,53,794/- on the contractor for delay in completion of work. This is an undue advantage provided to the contractor and needs justification.

vi Irregular diversion of funds: Rs. 6.86 lakh

During scrutiny of records of the work under analysis, it was observed that funds received for the execution of the work were irregularly charged to another work "[Construction](#) of 300 user Septic tank at DGC Karsog Tehsil Karsog" vide voucher no. 100 dated 07/2021 for Rs. 6,86,162/-. This needs justification.

vii. Non recovery of useful stone: Rs. 45570/-

As per the [scope](#) of work of the contract agreement, recovery of 151.90 cubic meter of useful stone @Rs. 300 per cubic meter shall be done on pro rate basis for the quantity of cutting in the earth work effected. As per the scope 225 cubic meter of cutting was to be executed which was executed and paid in the first running bill. However, the recovery of Rs. 45570/- was not made from the bills of the contractor. This is an undue favour to the contractor and needs justification.

viii. Non obtaining of performance security: Rs. 6.86 lakh

As per [Section 21.1](#) of the CPWD Works Manual, 2014, successful tenderer must furnish performance guarantee equal to an amount of 5 per cent of the awarded amount.

However, during scrutiny of records of work under analysis, it was observed that performance guarantee to the tune of Rs. 6.86 lakh (5 per cent of the awarded amount) was not furnished by the contractor Sh. Nitish Bhardwaj who was awarded the work at a cost of Rs. 130.76 lakh.

ix. Non production of bills of steels procured by the contractor: 22698.47 Kg

As per notification no. [PBW](#) (B) C (17) 2/2012 dated 07.08.2018 accorded by Under Chief Secretary (PW) to the Government of Himachal Pradesh, instructions were issued that the make of the steel procured by the contractor must be of SAIL or TISCO.

During scrutiny of records of the work under analysis, it was observed that as per the 3rd running bill, [22698.47](#) Kg of steel was consumed for the execution of the work but the bills of the same were not found attached. Hence, it could not be ascertained whether the make of the steel was from SAIL or TISCO as per the ibid notification. This requires justification.

x. Non conducting of quality tests of the material procured by the contractor

As per [Clause](#) 10 A of the Contract Agreement titled (Material provided by the contractor), the contractor shall at his risk submit the samples of the material to be tested or analysed and shall not make use or incorporate in the work any material represented by the samples until required tests and analysis have been made and material fully accepted by the Engineer in Charge.

During scrutiny of records of work under analysis, it was observed that [22698.47](#) Kg steel was procured by the contractor. However, the material was not tested and analysed by the Engineer-in-Charge in contravention to the ibid clause of contract agreement. This needs justification.

xi. Short recovery of royalty. Rs. 1,81,863/-

As per [HP Mineral Rule](#) 2015 and instructions issued by the state government X and W form was required to be obtained while releasing the payments to the contractor. As per Principal Secretary (PW) to the Government of HP issued instruction in connection with [CWP no.](#) 2593/2020 dated 16-07-2020 titled as Daljeet Singh Pathania V/S state of HP and others, production of form X & W form may be adhered strictly while releasing the payments to the contractor.

During scrutiny of records of the work under analysis, it was observed that short royalty was deducted from the running bills of the contractor as per the details provided below:

(Amount in Rs.)

No.	Runnin g bill no.	material	Material consume d cubic meter	Material Consume d MT	M form produce d	Shortag e	Royalt y amoun t
1	2nd	Sand	239.53	383.25	42	341	20460
	2nd	Aggregat e	252.01	493.94	32	461.94	28178
3	2nd	Stone	36.67	82.14	0	82.14	5093

4	3 rd	Sand	191.17	305.87	67	238.87	15049
5	3 rd	Aggregate	338.40	663.26	93	570.26	36497
6	3 rd	Stone	40.28	90.23	0	90.23	5865
7	4 th	Sand	212.19	339.51	0	339.51	22408
8	4 th	Aggregate	332.37	651.45	0	651.45	43647
9	4 th	Stone	29.45	65.97	0	65.97	4486
		Total	1672.07	3075.62		2841.37	181683

Thus, the department has neither obtained M-forms for the minerals nor any royalty was deducted from the running bills of the contractor. This is an undue advantage to the contractor and needs justification.

xii. Unverified and past dated M-forms:

The work under analysis commenced from 03-02-2022 but scrutiny of records revealed that [89 out of total 97](#) M-forms attached with the running account bills were dated prior to the commencement of the work. Some M-forms attached dated as old as January 2018. Thus, it is evident that the M-forms of some other work of the contractor were attached with the bills of work under analysis.

It was also observed that the 29 M-forms attached with the 1st running account bill were neither verified by the Engineer-in-Charge nor Assistant Engineer. This is a huge lapse on the part of department and needs justification.

xiii. Non attestation of comparative statement by the Divisional Accountant

As per section [20.2.2 \(1\) \(iv\)](#) of the CPWD Works Manual 2014, the divisional accountant should see that the comparative statement correctly incorporates the totals as checked on the individual tenders. Also as per section 20.2.2 (3) of the CPWD Works Manual 2014, The Divisional Accountant should record the following certificate on the comparative statement: "Certified that: I have personally conducted a test check of all the computed and checked tenders and have satisfied myself that the

checking work has been properly done. The comparative statement correctly incorporates the totals as checked on the individual tenders."

However, during scrutiny of records of the work under analysis, it was observed that the [comparative statement](#) of the work was approved without scrutiny and attestation by the Divisional Accountant in contravention to the *ibid* rules. This needs justification.

xiv. Daily/weekly/monthly reports of quality control test not prepared:

According to section [903.1](#) of The Ministry of Road Transport and Highways (MoRTH) specifications, testing frequencies are to be set forth targets and achievements in respect of quality control tests and daily, weekly, monthly reports on test results shall be prepared by the departmental officials. The reports should indicate the location of sampling and testing, deviation from the specified values for materials and works and remedial action taken by the contractor for removal of defective work. The Engineer shall certify the test record stating that the tests were done in his presence and as per the methodology prescribed. Audit, however, noticed that the division had not prepared such reports, which indicated lapses in conducting the prescribed tests. The Executive Engineer stated that the matter would be looked into.

xv. Non test check of measurement:

The measurements recorded by the subordinate officials should be test checked by the Assistant Engineer and Executive Engineer to the extent of 50% and 10% respectively. It was, however, noticed that the Executive Engineer has not test checked the record entries of measurements in the MBs. Reasons for not carrying out the required test check of measurements recorded in MBs may be stated. Needful may be done now and compliance shown at the time of next inspection.

xvi. Non maintenance of site order book

[Para 25.1](#) of the Central Public Works Department works manual provides maintenance of Site Order Books. The Site Order Books shall be maintained in the form prescribed in Appendix 26. The Site Order Book shall be printed and its pages machine numbered and issued by the Executive Engineer in different sizes containing sufficient number of pages, depending upon the magnitude of the work. A flyleaf should be attached with each Site Order Book containing instructions regarding maintenance of Site Order Books. These will be maintained properly and preserved for a period of 5 years or up to the time all disputes/arbitration cases of the work are finally settled, whichever is later, after completion of work in the same manner as a Measurement Book. As far as the Executive Engineer and Assistant Engineer are concerned, they should invariably sign the Site Order Book in token of their having read all the instructions issued by various Officers and replies made thereto. In case the Executive Engineer or Assistant Engineer himself wants to give any instructions, he should record them in the Site Order Book. In regard to important matters, they may find it necessary to communicate such orders even in writing in the form of inspection notes. The Junior Engineer/Assistant Engineer should also record his observations in the Site Order Book if he finds any defective work going on if the contractor is not complying with any of the terms of the contract, or on the slow progress of work if any. The Site Order Book should be maintained at the site of the work, and it should never be removed from there under any circumstance. The Executive Engineer should also periodically review the Site Order Book to ensure that it is being properly maintained and used. The Site Order Book should be consulted at the time of making payments to the contractor. The Assistant Engineer should record the certificate on the bill(s) submitted by the contractor to the effect that the Site Order Book has been verified before signing such bill(s). This would enable the Assistant Engineer to ensure whether the defects pointed out during construction have been rectified or not, and also to propose part rates, if necessary, before the payments are made for the items of work for which

defects were pointed out but have not been rectified. However, it was noticed that neither the site order book was maintained at the site nor the record of any inspections was recorded.

In [reply](#) to audit enquiry no. 19, the Executive Engineer confirmed the facts and figures and stated that there was no need of obtaining technical sanction as working estimates were approved by the Superintending Engineer, justification for cost escalation has been prepared and duly approved, the work will be completed in some time so compensation has not been levied, recovery of useful stone will be made and performance security will be obtained, bills of steel procured will be annexed in next running bills, engineer-in-charge tested the steel quality, recovery of royalty will be made from next running bills of the contractors. M-forms will be obtained which pertained to the same work will be attached. Attestation of Divisional Accountant in comparative statements will be ensured from now onwards and test check of measurements will be ensured and site order book will be obtained

The reply furnished by the Executive Engineer is not acceptable as approval of working estimates is not technical sanction. Unnecessary delay led to avoidable price escalation, justified reason was not furnished for providing extension to the contractor and non levy of compensation, this is an undue advantage to the contractor. Recovery of useful stone may be made with immediate effect, bills of steel procured may be produced in next audit inspection. No test report was furnished by the Engineer-in-charge. M-forms should have been obtained and verified by the Assistant Engineer for the material procured by the contractor for the same work before releasing of payments. Post facto attestation of the Divisional Accountant shall be obtained for the work under analysis. Test-check of measurements should be undertaken and compliance may be shown in next audit. Site order book may be maintained and compliance shown in next audit.

Reference Number: OBS-773444

Para 6: Non- deposit of labour cess with the Himachal Pradesh Building and Other Construction Workers Welfare Board (HPBOCWFB) and labour officer ₹ 161.85 lakh

As per provisions of the Cess Act, 1996 & rules framed there to achieve the objectives of the Building & Other Construction Workers, one per cent labour cess was required to be deposited with the Himachal Pradesh Building and Other Construction Workers Welfare Board (HPBOCWFB) within one month from the date of labour cess deducted from the bill of the contractor.

Audit, however, [noticed](#) that ₹ 1,61,84,500/- (OB: ₹ 1,59,21,103/- and deduction during May 2023: ₹ 2,63,397/-) was deducted from the bills of contractors upto May 2023 was not deposited with the Himachal Pradesh Building and Other Construction Workers Welfare Board (HPBOCWFB) as of now. It was further noticed that the labour cess accumulated since April 2018.

In [reply](#) to audit inquiry no. 2 (AENQ-311008) the Executive Engineer while confirming the facts stated that due to shortage of staff, administrative works were hampered and priority would be accorded to deposit labour cess and compliance would be shown to audit. The reply is not acceptable as all the amount of labour cess had not been deposited with the board as of now, which is not only serious but also contrary to *ibid* rules. Hence, the entire outstanding amount may be deposited with the board at earliest under intimation to audit.

Reference Number: OBS-773446

Para 8: Unused road safety equipment resulted in non-providing of safety measure and resulted in blockade of funds ₹ 15.65 lakh.

During test check of records it was noticed that the Executive Engineer had purchased road safety [equipment](#) of ₹ 36,75,690/- from various firms during 2021-22, out of which few road safety equipment's of ₹ 21,11,050/- were used and remaining road safety equipment of ₹ 15,64,640/- were lying unutilized in with subdivision Pangana as of now.

The Executive Engineer while [confirming](#) the facts and figures as correct stated that unutilized road safety equipment will be installed in due course of time.

Reference Number: OBS-773447

Para 9: Irregular purchase material in excess of requirement lying unutilized in divisional store ₹ 59.44 lakh

Under [Secretary](#) (Public Works) to the Govt. of Himachal Pradesh vide letter no. PBW(B)C(17)2/2012 dated 07-08-2018 has issued instructions that all the material to be utilized by the contractor on the execution of works, will be procured by the contractor and material will not be issued from the departmental store.

Test check of records showed that material valuing to ₹ 59,43,746/- was lying unutilized in the departmental store as per detail given in the following table. It was further noticed that material was procured without any assessment, which resulted in blockade of government [funds](#) of ₹ 59,43,746/-.

Name of material	Quantity	Amount (in Rs.)	Since when lying in store
Steel 8 mm	123.30	715140	6/23
Steel 10 mm	31.77	210349	6/23
Steel 12 mm	42.94	238317	10/2022
Steel 16 mm	387.14	2065392	6/23
Steel 25 mm	3.195	264863	3/23
Steel 28 mm	14.275	984975	5/23
Steel 32 mm	17.750	869750	10/2022
VG-10	17 drum	204000	3/23
Emulsion SS-1	16 drum	181360	3/23
Emulsion RS1	16 drum	209600	3/23
Total		5943746	

No action/decision has been taken in respect of material which is lying in the departmental store and with the passage of time, the possibility of deterioration of material could not be ruled out. Besides

this, the figures of stock as depicted in the monthly account were in negative whereas material valuing in lakhs is lying in the divisional store which requires justification. The details given in the above table did not include the material lying with the subdivisions and contractors.

The Executive [Engineer](#) while confirming the facts and figures as correct stated that material was procured as per requirement and would be utilized in future.

Reference Number: OBS-773448

Para 10: Blockade of Govt. funds on deposit work Rs. 368.64 lakh

[Para 3.6.5 of the Central Public Works Department \(CPWD\) Works Manual](#) (followed by the Himachal Pradesh) stipulates that the Executive Engineers should settle their accounts against the deposit works expeditiously so that the accounts do not remain unsettled for long. The deposit received from other departments of the Government and other agencies for the execution of Deposit Works should be utilized on the execution of concerned works promptly and should not be kept under Deposit Head for a long period as it results not only in blockage of public money but also the denial of intended benefits to the public for which the Government had made the funds available. During test check of records of the office of the Executive Engineer, HPPWD Karog, it was noticed that an [amount](#) of Rs. 1024.32 Lakh was received by the division from various agencies for carrying out 18 works as per details given in the [Annexure-II](#) out of which only Rs. 655.68 lakh only were utilized by the department, the remaining amount of Rs. 368.64 lakh was lying unutilized by the department. This amount was kept under head “8443-PW Deposit” and was still lying un-utilised as of 06/2023 which resulted in blockage of Government money and also deprived the people of the areas of the intended benefits.

Reasons for not taking up of works for execution even after the lapse of considerable time may be stated and justified. If the codal formalities have not yet been completed by the funding departments, reasons for accepting the amount by the department may be furnished to audit. If these works are not feasible, the funds so deposited by other departments may be refunded.

In [reply](#) to audit enquiry, the Executive Engineer confirmed the facts and figures and stated that the works lying incomplete in deposit head of the department are being executed and will be fully utilized in due course of time. The reply is not acceptable as huge amount lying under deposit head halts the development projects and bereft the public of intended benefits.

Reference Number: OBS-773450

Para 11: Irregular splitting of work agreements: Rs.148.96 lakh

As per Himachal Pradesh Govt. [Finance department Notification No.](#) Fin-© A(2)/89 dated 17th February 2012, the Govt. has delegated the financial powers to the Executive Engineer and Assistant Engineer they are empowered for acceptance of lowest tender amounting to Rs. 30.00 lakh for selected XEN, Rs. 10.00 lakh for non-selected XEN and Rs. 0.50 lakh for Assistant Engineer. Rules require that for getting the major works executed through contractors, press tenders should be invited so as to ensure competitive market rates and execution of works in most efficient manner. Splitting up

of major works in smaller components to get them executed through small contractors on contract agreements within the competency of the Executive Engineer / Assistant Engineer and to avoid sanction of the higher authorities is not permissible under the rules.

During test check of records of the office of the Executive Engineer, Himachal Pradesh Public Works Department (HPPWD) Karsog, it was [noticed](#) that Officers were awarding the works to different contractors by splitting the works into piece meals keeping the estimated cost below Rs. 5.00 lakh to avoid transparent process of e-tendering and have accepted and awarded works during 2021-22 to 2022-23. On scrutiny of records taken by way of illustration, it was observed that the 5 works were split into 23 sub-works out of which 22 works were kept just below Rs. 5.00 lakh to avoid e-tendering and were awarded at a total cost of Rs. 1,48,96,301/- as per details given in [Annexure-III](#).

In [reply](#), the Executive Engineer confirmed the facts and figures and stated that the cases mentioned will be reviewed and post facto split up sanction of the same will be obtained from higher authorities. The reply is not acceptable as post facto sanction will not justify that the tendering process was not processed through e- tendering process and was conducted in non-transparent manner.

Reference Number: OBS-773451

Para 12: Unrealistic preparation of estimates and huge deviation from awarded amount

The Government of Himachal Pradesh [adopted](#) Central Public Works Department (CPWD) Works Manual vide letter no. PBW(B)A(3)1/2020-1 dated 07.10.2021 and clarified that the tender will be invited on the basis of working estimate approved on market basis and shall be awarded to the lowest bidder without negotiation of quoted rates if the tender is within the limit of (+)5 percent and (-30) percent of amount put to tender i.e., estimated cost.

Following the [newspaper](#) clipping accusing the office of Executive Engineer, HPPWD Karsog of discrepancies in the tendering process, the Superintending Engineer took [cognizance](#) of the issue and sought details of the works put to tender after 07.10.2021.

During scrutiny of records of the office of the Executive Engineer, HPPWD Karsog, it was [observed](#) that 60 works were awarded to contractors in which deviation of awarded amount ranged from (-) 30 percent to (-) 76 percent in the negative range and (+) 6.95 percent to (+) 786.07 percent in the positive range. The department had violated the guidelines of the Government of Himachal Pradesh in awarding the works to the contractors by awarding the works in which deviation was outside the limit of (+) 5 percent and (-30) percent of amount put to tender. Details of such deviation are given in Annexure-IV.

In [reply](#), the Executive Engineer confirmed the facts and figures and stated that the cases mentioned in the audit memorandum will be reviewed, and detailed reply will be produced in due course of time.

Reference Number: OBS-773452

Para 13: Non-conducting of Road Safety Audit

According to “Indian Road Congress ([IRC: SP: 88](#);) 2010-Manual on Road Safety Audit”, the Road Safety Audit (RSA) is to be carried out by specialists independently other than the agency involved in

design process to take a fresh look at the project without the distraction of having been involved in design. As per instruction issued by the Supreme Court Committee on Road to the State Governments to carry out Road Safety Audit at design, construction and operation stages of roads by auditors accredited by National Road Safety Audit Board or the Auditors trained by the State Government.

Audit observed that the division had not conducted any road safety audit at design, construction and operation stages of roads by auditors accredited by National Road Safety Audit Board or the Auditors trained by the State Government. Thus, the RSA from independent auditor was not ensured by the division.

In [reply](#) to audit enquiry no. 6 (AEQN-314563) the Executive Engineer while confirming the facts stated that the matter would be taken up with the higher authority for conducting of road safety audit. The reply is not acceptable as non-conducting of road safety audit not only resulted in non-ensuring of road safety to road users but also contrary to *ibid* instructions.

Reference Number: OBS-773453

Para 14: Short/ Non deduction of royalty: Rs. 4.32 lakh

As per Himachal Pradesh Mineral Rule 2015 and instructions issued by the state government, X and W form was required to be obtained while releasing the payments to the contractor. Principal Secretary (PW) to the Government of HP issued instruction in connection with CWP no. 2593/2020 dated 16-07-2020 titled as Daljeet Singh Pathania V/S state of HP and others, that production of form X & W form may be adhered strictly while releasing the payments to the contractor.

During scrutiny of [records](#) of the office of the Executive Engineer, HPPWD Karsog it was observed that Royalty of Rs. 4,32,363/- was not deducted/ short deduction made from various contractors as per the details attached in Annexure-V. This is in contravention to the *ibid* rules.

In [reply](#), the Executive Engineer confirmed the facts and figures as correct and stated that the cases listed in the audit enquiry will be reviewed and recovery of royalty will be made from the contractors if applicable. Needful may be done under intimation to audit.

Reference Number: OBS-773454

Para 15: Non-Establishment of Road Asset Management System

Road Asset Management System (RAMS) is a tool to assist the Public Works Department (PWD) in strategic planning, programming, project preparation and implementation. For establishment and functioning of RAMS, data relating to roads is required to be collected and stored/documentated in the prescribed format for each subsection of a road. The details of road inventory, pavement composition, history of repairs, condition of roadway, details of road and rail crossings, road accident information, inventory and condition of cross drainages structure, and average daily traffic count were required to be collected. The data was to be gathered section-wise, subdivision-wise and division-wise.

Audit observed that no such road database was prepared by the division and RAMS was not established. In the absence of database like details of road inventory, pavement composition, history

of repairs, condition of roadway, details of road, road accident information, inventory and condition of cross drainages structure, and average daily traffic count and RMS, the expected assistance to PWD in planning, prioritization, project preparation, and implementation did not materialize. Thus, the entire system of submission of road work proposals by Divisional Officers and sanction of works by the Department lacked objective planning and transparency.

In [reply](#) to audit enquiry no. 5 (AEQN-314553) the Executive Engineer while confirming the facts stated that the department was in process of establishing of Road asset Management system which would be completed in due course of time.

Reference Number: OBS-773456

Para 16: Irregular payment of SOP estimates to Electrical Division, Mandi without obtaining utilization certificate : Rs. 17.62 lakh

During scrutiny of records of the office of the Executive Engineer, HPPWD Karsog, it was observed that [payment](#) of Rs. 17.62 lakh were released to Executive Engineer, Electrical Division Mandi on account of payment of Schedule of Payment (SOPs) by directly charging the scheme instead of charging the expenditure to Miscellaneous Public Works Advance as detailed below:

(Amount in Rs.)		
Sr. No.	Name of Scheme	Payment Made
1	Construction of Health Sub Center Building at Bhanthal	104700
2	Construction of office building for SMS Horticulture at Karsog	433300
3	C/o Stadium Building for Government Sr. Secondary School at Karsog	491720
4	C/o Government Sr. Sec. School at Tattapani	282760
5	C/o Government Senior Secondary School at Mehandi	144941
6	C/o Science Lab Building at Tattapani	304373
	Total	1761794

It was also observed that the payment of Rs. 17,61,794/- was made to Executive Engineer, Electrical Division Mandi on account of SOP estimates, but the utilization certificate of the same was not obtained from the department in the absence of which it could not be ascertained that the full amount was utilized by the department. Also, as per standard procedure, the payment for SOP shall first be charged under suspense head (MPWA) so as to keep watch on the progress and only after obtaining utilization certificate in the format of GFR-12C shall the final head of the scheme be charged. But it was noticed that the final head of the scheme was charged for the payment of Rs. 17.62 lakh without first routing the expenditure through MPWA and directly charging the final head of the scheme. This is highly regular and needs justification.

In [reply](#), the Executive Engineer confirmed the facts and figures and stated that utilization certificates for the works will be obtained from Electrical Division Mandi. The reply is not acceptable, as charging of MPWA instead of direct head of schemes was not justified.

Reference Number: OBS-773457

Para 17: Irregular hiring of tipper at higher rate: Rs. 2.85 lakh

As per the Schedule of Rates 2020 approved by the Government of Himachal Pradesh, the rates of hiring of tipper has been [fixed](#) at Rs. 1700/- per day.

During scrutiny of records of the office of the Executive Engineer, HPPWD Karsog, it was observed that the department had released payments to contractors for hiring of tipper at rates way higher than the rates fixed by the government. The details of such cases are given below:

(Amount in Rs.)								
Sr.No.	Voucher No.	Agreement No.	Contractors' Name	Rate of tipper at which payment released	Rate fixed by government	Difference in rate	No. Of days	Difference (Amount)
1	257 dated 31.03.2023	353 of 2021-22	Ratan Singh	3350	1700	1650	44	72200
2	16 dated 18.08.2022	609 of 2021-22	Kesar Singh	3600	1700	1900	40	76000
3	73 dated 27.12.2021	285 of 2021-22	Kesar Singh	3300	1700	1600	44	70400
4	Illegible	450 of 2021-22	Brijlal	3350	1700	1650	40	66000
	Total							284600

Thus, the work was awarded to the contractor at the exorbitant rate more than the Schedule of Rates 2020 approved by the government of Himachal Pradesh. This is an undue advantage provided to the contractors and needs justification.

In [reply](#), the Executive Engineer confirmed the facts and figures and stated that due to emergency situation for clearing of roads, the higher rates were paid to contractors due to low availability of options. The reply is not acceptable as it varies hugely from the rate specified in Schedules of Rates 2020.

Reference Number: OBS-773459

Para 18: Less recovery on account of hire charges of Road Roller for Rs. 2.48 lakh

As per [Clause 34](#) of the Contract Agreement, the plant and machinery required for the work was to be arranged by the contractor and was not to be issued by the department. Clause 34 of the contract agreement further provides that the plant and machinery, when supplied in exceptional cases, shall be made over and taken back by the department equipment/ machinery shed. The contractor shall bear the cost of their carriage from shed to the site of the work. The hire charges shall be recovered at the prescribed rates will be 8 hours per each day (inclusive of the one-hour lunch break)

During test check of the [records](#) of the office of the Executive Engineer, HPPWD Karsog, it was observed that the amount of Rs. 130014/- only was received from the contractor against the eligible amount of Rs. 377600/-. Thus, there was a short recovery to the tune of Rs. 247586/- as detailed in the Annexure -VI. This is an undue favor provided to the contractor and needs justification.

In [reply](#), the Executive Engineer confirmed the facts and figures as correct and stated that the matter will be reviewed and recovery will be effected if applicable. The matter may be examined thoroughly and compliance for the same may be shown in next audit.

Reference Number: OBS-773463

Para 19: Transfer of expenditure from higher offices: Rs. 79110/-

As per [Section 14](#), Himachal Pradesh Financial Rule (HPFR, 2009) expenditure should not exceed the budget allocation.

During the test check of records of Executive Engineer, HPPWD Karsog, it was observed that the department had made the payment of Rs. 79,110/- as per detailed below for various payments of bills such as pertaining to higher office viz/ Chief Engineer (Mandi Zone).

No.	Voucher No. And date	Bill No. And date	Firm	Particulars	Amount paid (in Rs)
1.	207 dated 3/2023	3665 dated 05.12.2022	Saraswati Printers	Stationery	26600

2.	206 dated 3/2023	237 dated 20.12.2022	Bharat Traders	UPS	14160
	205 dated 3/2023	100 dated 13.12.2022	Bharat Traders	Repair of computer accessories	14750
	204 dated 3/2023	99 dated 13.12.2022	Bharat Traders	HP 12 A Toner Cartridge	23600
			Total		79110

It is clear from this that the expenditure has exceeded the allocated budget in the higher offices and the office of Chief Engineer, Mandi Zone and has transferred its expenditure to subordinate offices and not adhered to the provisions of HPFR which is not in order. The department, however, charged the repair and maintenance head of the works for contingency payments of higher offices. This requires justification.

In [reply](#) the Executive Engineer confirmed the facts and figures stated that the expenditure was transferred due to paucity of funds with Chief Engineer office. The reply is not acceptable, as charging the repair and maintenance head for making payment of office charges of higher offices is irregular use of repair and maintenance funds.

Reference Number: OBS-773464

Para 20: Irregular payment for travel by taxi: Rs. 24735/-

As per Himachal Pradesh finance notification no. [Fin \(C\)- B\(7 \)-1/2009](#) dated 22.04.2016, for official duty reimbursement of taxi fares is fixed at Rs. 8.00 per Km.

During scrutiny of records of the office of the Executive Engineer, HPPWD Karsog, it was observed that Assistant Engineer travelled from Karsog to Tumman Bridge and back (Total 92 Km) and payment of Rs. 5000 /- was released on Hand Receipt to Vinod Tour and Travel whereas the payment of only Rs. 1472/- only was admissible @ rate of Rs. 8 km as per ibid notification. Thus, payment of Rs. 3528/- was released in excess. Also, the tour diary was not found attached with the bills. This needs justification.

Similarly, other instances were observed where taxi were hired at inadmissible rate as detailed below:

No.	Voucher No. And date	Firm	Bill No. And date	Travelle d from	Travel to	Total distance	Rate	Total Amount (in Rs)
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1.	44 dated 6/2022	Vinod Tour and Travel	31 dated 25.04.202 2	Karsog	Mandi and back to karsog	250	15	3750
2.	45 dated 6/2022	Vinod Tour and Travel	32 dated 26.04.202 2	Karsog	Mandi and back to karsog	212	15	3180
3.	46 dated 6/2022	Vinod Tour and Travel	28 dated 2.04.2022	Karsog	Mandi and then to Shimla	275	15	4125
4.	47 dated 6/2022	Vinod Tour and Travel	27 dated 27.03.202 2	Karsog	Shimla then mandi to Karsog	406	15	6090
5.	48 dated 6/2022	Vinod Tour and Travel	24 dated 16.02.202 2	Karsog	Shimla to Mandi	256	15	3840
6.	49 dated 6/2022	Vinod Tour and Travel	22 dated 15.02.202 2	Karsog	Mandi and back to karsog	250	15	3750
		Total				1649	15	24735

No tour diary was found attached with the bills, and it was not clear who undertook the journey and for what purpose. Also, 1649 Km of travel was undertaken @Rs. 15/- per km instead of approved rate of Rs. 8/- per km. Also, travelling allowance claimed should be charged to the respected head instead of charging the repair and maintenance head of the public works.

In [reply](#), the Executive Engineer confirmed the facts and figures and stated that recovery will be made from the officers and compliance for the same will be shown in next audit. The matter may be examined thoroughly and action may be taken accordingly.

Reference Number: OBS-773466

Para 21: Miscellaneous Irregularities

The following discrepancies were noticed during the course of audit

I. Discrepancies noticed in the subdivision Karsog

a. Payment of Rs. 20,92,937/- was made on account of recovery of material from M/S AHC Associates for AMP on Narahan to Sarahan Road, Package No. HR-08-08. However, no account of material received was produced to audit for verification.

b. Short recovery of charges from visitors of Rest House: Rs.900/-

As per notification no. GAD-D(G)6-1/2019 dated 10.09.2020, if a visitor stays for more than five days and upto 1 day, he/ she has to pay double the tariff applicable and three time is stay is over 15 days and upto 30 days.

However, during scrutiny of the visitor book of Karsog Rest house, it was observed that wrong rates were applied for the visitors as detailed below:

(Amount in Rs.)

Name	Designation	Whether on duty	Check in date	Check out date	No. Of days stayed	Rate applicable	Rate applied	Charges	Charges applicable	Difference
Sh. Narender Singh	Principal GSSS	Yes	13/10/2021	24/10/2021	11	150 from 13.10.2021 to 18.10.2021	150	1800	2700	900
						300 from 18.10.2021 to 23.10.2021				
						450 from 23.10.2021 to 24.10.2021				

Thus, there was a shortage in collection of charges of Rs. 900/- from visitors of Karsog Rest House.

Several instances were also noticed where time of arrival and departure were not written in the visitor book, due to which it becomes difficult to ascertain how for many days the visitors stayed in the rest house.

c. Payment of Rs. 15575/- was made vide voucher no 3 of 11/2022 on Hand Receipt to Sh. Narpat Ram, but no bill was produced for the expenditure.

d. During test check of [dispatch](#) register, it was observed that various entries were left blank such as 1060,1071,1072,1073,1105,1133 (taken by way of illustration). 27 entries like this were kept blank in the register on various dates so that the letters can be sent back dated. This is a problematic step by the department, which can have legal complications. This requires justification.

e. Payment of Cable TV network rent of residences of Executive Engineer and Assistant Engineer: Rs. 3240/-.

During test check of records it was observed that in the month of December 2021 cable TV rent of the residences of Executive Engineer and Assistant Engineer was charged to repair and maintenance head of the division. The payment were made vide voucher no. 41 and 45 of December 2021 (Rs. 1440/- and Rs.1800/- respectively). This is highly irregular and requires justification.

II. Discrepancies noticed in subdivision Pangna

a. In [voucher no.4](#) dated 03/2023 payment was released to Sh. Man mohan Gupta for work C/o Karsog to shopa road km 0/0 to 2/0. 6 MT of sand and 13 MT of aggregate were consumed and M-forms were obtained. However, as per the M-form, the material was being sent to Chhattri instead of Karsog. Thus, it is evident that the M-forms for some other work were attached with the voucher and royalty of Rs. 1140 was not recovered from the contractor. This requires justification.

b. On date 20.01.2023, credit of [Rs. 4816/-](#) was made to the account of Electrical Division Mandi instead of HPPWD Karsog. Recovery of the same was not sought from Electrical Division Mandi. This requires justification.

c. GR Book register and dispatch register of the subdivision were not produced for audit scrutiny.

III. Even after repeated insistence, a license copy of the magazine for storage of explosive materials was not produced for audit scrutiny.

In [reply](#) the Executive Engineer confirmed the facts and figures and gave point-wise reply and stated that the work AMP on Narahan to Sarahan Road was erroneously charged to state head and payment of Rs. 2092397 was made as recovery from contractor to transfer the charge to PMGSY head. However, details of the same were not provided to audit.

The Executive Engineer further stated that the short recovery for stay in rest house will be made and bills of Rs. 15575/- will be produced and shown in next audit. Entries in dispatch are skipped erroneously, recovery of cable tv payments will be made from officers, M-forms of the minerals actually utilized will be attached, correspondence will be made with Electrical Division, Mandi for reconciliation of the figures, GR book register will be produced during next audit inspection and magazine lies with division Gohar and license of the same could not be obtained.

Needful may be done under intimation to audit. Payments should only be released after due verification of the M-forms and copy of the license may be obtained and produced to audit for verification.

Reference Number: OBS-773468

Para 22: Non-crediting of lapsed deposit to Government revenue -Rs. 234.83 lakh

Para 15.4.1(ii) of Central Public Works Account (CPWA) Code (applicable in Himachal Pradesh Government) provides deposits that remained unclaimed for more than three complete accounting years shall be credited to the Government (revenue head of account) at the close of accounts for the month of March each year.

Scrutiny of records revealed that an amount of Rs.2,34,83,454/- was lying unclaimed deposit from 1998-99 to 2020-21 (upto 06/2020) as per details given below:

(Amount in Rs.)

Financial Year	Number of Items	Amount
1998-99	2	59812
2006-07	1	40000
2007-08	2	50488
2008-09	1	9523
2010-11	23	169262
2011-12	106	761156
2012-13	126	1164247
2013-14	171	1697691
2014-15	229	2610758

2015-16	180	895211
2016-17	155	3084534
2017-18	235	5070452
2018-19	339	4205799
2019-20	238	3425311
2020-21	26	239210
Total	1834	23483454

The unclaimed deposit is required to be credited to Government Account, but no action has been taken to credit the same as of 06/2023.

In [reply](#) the Executive Engineer confirmed the facts and figures as correct and stated that the all the securities more than 3 years old will be deposited in government revenue and compliance for the same will be shown in next audit.

Needful may be done under intimation to audit.

Reference Number: OBS-773471

Para 23: Delay in deposit of funds into government revenue- Rs. 12.80 lakh

As per [Section 3\(1\)](#) of Himachal Pradesh Financial Rules, 2009, and [Rule 7](#) of General Financial Rules, 2017 all moneys received by or on behalf of the Government either as dues of the Government or otherwise for deposit, remittance and withdrawal therefrom, shall be brought into Government Account immediately. However, during scrutiny of records of the subdivisions under HPPWD Division, Karsog, it was observed that there was a delay in depositing of 89 number of government receipts amounting to Rs. 12,79,682/- with delay ranging from 3 to 34 days in depositing of funds into government revenue as per the details given in [Annexure-VII](#).

It was also observed that the distance of Treasury from both the subdivisions is fairly approachable, there is no justified reason for delay in depositing such huge amount and could be attributed to suspected temporary embezzlement.

In [reply](#), the Executive Engineer confirmed the facts and figures as correct and stated that the point has been noted for future compliance. Efforts may be made that *ibid* Rules are followed judiciously.

Reference Number: OBS-773474

Para 24: Non finalization of Contractor's Bill of Rs. 708.59 lakh

As per [Clause 9](#) of the General Conditions of Contract Agreement of *Himachal Pradesh Public Works Department (HPPWD)*, the bills of the contractors shall be finalized within 2 months if tendered value is less than 1 crore, within 3 months if tendered value is between 1 and 10 crore and 6 months if tendered value is more than 10 crores.

During scrutiny of records of the office of the Executive Engineer, *Himachal Pradesh Public Works Department (HPPWD)* Karsog, it was [observed](#) that an amount of Rs. 708.59 lakh in 331 works which were completed between March 2021 and June 2023, but the final payment has not been released to the contractors as of now. Details are as attached with Annexure-VIII. The department has not abided by the *ibid* rules and failed to dispose its liabilities, which requires justification.

In [reply](#), the Executive Engineer confirmed the facts and figures as correct and stated that contractor's bills will be finalized in due course of time and compliance will be shown in next audit. Needful may be done under intimation to audit.

Reference Number: OBS-773476

Para 25: Non levy of compensation resulting in promoting delay in execution of work and undue favour to contractor: Rs. 103.23 lakh

In terms of [clause-2](#) of the PWD Form-8 of contract agreement, the time allowed for carrying out the work as entered in the contract shall be strictly observed by the contractors and shall be deemed to be the essence of the contract agreement in the part of the contractor. In case a contractor does not complete the work within the stipulated period, the compensation at the rate of 1 percent of tendered amount per day of delay subject to the maximum of 10% of the contract value is required to be levied and recovered.

During test check of records of the office of the Executive Engineer, *Himachal Pradesh Public Works Department (HPPWD)* Karsog, it was [noticed](#) that 38 works were awarded to various contractors between 2004-05 to 2022-23 at a total tendered cost of Rs 1032.35 lakh were not completed within the stipulated period of completion. No extension of time was either applied for or granted to the contractors. In the instance cases, compensation of Rs. 103.23 lakh was required to be levied and recovered from the contractors as per details given in [Annexure-IX](#).

In [reply](#), the Executive Engineer confirmed the facts and figures and stated that the cases listed in the annexure will be reviewed and compliance for the same will be shown in next audit. The matter may

be looked into, and appropriate action be taken against the contractor in all such under intimation to audit

Reference Number: OBS-773480

Para 26: Non forfeiture of earnest money amounting to Rs. 2.77 lakh

As per [terms and condition](#) of the notice inviting tenders, if the tenderer whose rates were found to be the lowest, fails to start the work within the stipulated period specified in the contract agreement, the earnest money received with the tender shall stand forfeited and will be absolutely at the disposal of the Government without any reservation on the part of the tenderer.

During [test](#) check of records of the office of the Executive Engineer, Himachal Pradesh Public Works Division (HPPWD), Division Karsog it was observed that 14 works had been awarded to various contractors during the period 2012 to 2022 taken by way of illustration. However, contractors failed to start the work allotted to them within the stipulated period, as per details tabulated in [Annexure-X](#). The earnest money of Rs. 277021 /- was not forfeited and credited to Government account/ revenue as per contract agreement. In [reply](#) the Executive Engineer confirmed the facts and figures as correct, stated that the cases listed in the annexure will be reviewed, and earnest money will be forfeited in applicable cases. All cases may be reviewed, Earnest money may be forfeited and credited to the revenue head of the Government.

Reference Number: OBS-773483

Para 27: General

i. Deposit Funds-1530.41 Lakh

There was an outstanding balance of Rs. 15,30,41,115/- under the various deposit head as of 06/2023 as detailed below

General Abstract of Deposit	Closing Balance (in Rs.)
Deposit from contractor as security	71841474
Deposit of works to be done `	46882811
Welfare Cess	16184500
GST	18132330
Total	153041115

Deposit works may be accelerated and completed at the earliest and where works are not feasible the unspent amount may be refunded to quarters concerned, and earnest efforts may be made

to minimize the balance.

ii. Irregular minus stock balance of ₹ 6.41 crore

Test check of records revealed that there was net minus balance of ₹ (-) 6,40,81,248/- under suspense head "Stock" up to 5/2023 (Stock ₹ (-) 5,36,23,337/- and stock manufacture ₹ (-) 1,04,57,911/-) which indicates that the transaction under this transitory head had not been operated properly. Minus balance under this suspense head depicts that the division had issued material valuing ₹ 6,40,81,248/- to various works as there was virtually no material available in the stock, though there existed considerable ground balance in the stock. In the presence of minus stock balance, the chances of pilferage of material could not be ruled out, which could result in loss to the Government. Besides this, Huge minus balances are lying under the stock head manufacture, which indicates that the out turns of vehicles have not been adjusted properly till date.

In [reply](#) to audit inquiry no. 1 (AENQ-310706) the Executive Engineer while confirming the facts stated that the material procured against stock was kept and accounted for under debit side to the suspense head "stock" and when the same is issued to various works, the value thereof is credited to this suspense head. The reply is not acceptable as this transitory head had not been properly operated and chances of pilferage could not be ruled out.

iii. Schedule of MPWA

Balance under the head MPWA was found to be Rs 10,27,515 at the end month 06/2023.

iv. Non-Deposition of Worker welfare cess- Rs. 161.85 Lakh

Rules provide that Labour welfare cess deducted at source from each bill of the contractor should be deposited with the quarters concerned in the succeeding month in which cess deducted.

During test check of monthly account for the month of 06/2023 cess amounting to Rs. 1,61,84,500/- has not been submitted to the Secretary HP building welfare board and is lying outstanding with the department.

v. Sanction to Reserve Stock Limit

Reserve stock limit to keep the store in hand not been obtained since a prolonged period.

vi. Leave account

Scrutiny of records revealed that leave account was not maintained or updated in the service book maintained at divisional level. Needful may be done under intimation to audit.

Other General points.

(i) Non-preparation of Reconciliation Statement- Form-51

Financial Rules require that when money in the custody of a govt. officer is paid into the treasury/bank or drawn from treasury or bank, the head of the office making such payments should compare the treasury officers receipt of the amount submitted with the entry in the cash book before attesting it and satisfy himself that the amounts have actually been credited into the treasury or in the bank. By the 15th of the succeeding month, he should obtain from the treasury a consolidated receipt of all remittances made during the previous month, which should be compared with the posting in the cash book to ensure that the amounts remitted have actually been credited to the govt. account.

During test check of records, it was found that Form-51 has not been attached with the monthly accounts. This needs justification.

(ii) Securities from subordinate staff.

A sufficient amount as per the government instructions issued from time to time is required to be obtained as security from the subordinate staff handing cash/ store/ government property to safeguard of Government Property/money. It was noticed that no such securities had been realized/ obtained from the subordinate staff. Necessary securities may be obtained under intimation to audit.

(iii) Priced store Ledger.

An account of day to day receipts issues and balance of store is required to be maintained in the Division at office to have an effective control on the stores. The priced store ledger has not maintained in the Division. Needful may be done now and compliance shown to audit at the time of next inspection.

(iv) Property registers.

A property register which is an important record to keep record of property of the office i.e. office building, land and other Government accommodation is required to be maintained in the Division, but the same has not been maintained. The same may be maintained now and compliance shown to audit at the time of next inspection.

(v) Non obtaining of sanction of Executive Engineer.

As per financial rules (works), Assistant Engineer can sanction payment of purchase of materials with bill upto Rs. 500/-. Payment of bills above Rs. 500/- has to be sanctioned by Executive Engineer also. However, bills pertaining to energy and fuel charges can be sanctioned at the level of Assistant Engineer.

During scrutiny of records of the office of the Executive Engineer, HPPWD, Karsog. It was observed that vouchers were passed by the Assistant Engineer without the sanction of Executive Engineer, which is in contravention of ibid rules and exceeds the financial powers of Assistant Engineer.

(vii) Non maintenance of contractor's ledger

The contractor ledger is not being maintained in the division. Due to non-maintenance of contractor's ledger, tracing of material issued, their consumption and recovery could not be ascertained. The reason for non-maintenance of contractor's ledger may be stated and needful may be done under intimation to audit.

(viii) Physical verification

During test check of records it was observed that physical verification of Division, HPPWD, Karsog has not been conducted since 21/12/2019. However, physical verification was conducted for Sub-division Pangana from 30/08/2022 to 01/09/2022 and subdivision Churag from 18/08/2022 to 20/08/2022. Necessary action may be taken and compliance must be shown to audit at the time of next inspection.

(ix) Non maintenance of records

Audit noticed that Executive Engineer, HPPWD division Karsog had not maintained seven such basic records as per detail given in the following table.

Sr. no.	Records/registers not maintained	Implications
1.	Contractors' Ledger	Details of works undertaken by each contractor and amount outstanding under each work could not be ascertained.
2.	Hindrance Register	The items of works affected due to any hindrance and the net delay on the part of the Department or Contractor could not be ascertained.
3.	Site order Book	Details of defects on which action is to be taken by the Contractors based on the observations of the Supervising Officer could not be ascertained.
4.	Inspection Register	Details of site visits of the Senior Officers such as Superintending Engineer and Chief Engineer, details of items inspected, and corresponding observations could not be ascertained.
5.	Form 64 register	Register of work wise expenditure incurred was not found maintained. In the absence of non-maintenance of 64 register, the authenticity of expenditure incurred on different works could not verify in audit.
6.	Contractors ledger	Contractor Ledger means a book which contains all entries in respect of all works executed by the contractor, indicating therein payment account and recovery of material issued to the contractor. Contractor's ledgers were not found maintained.
7.	Quality control certificate and non-retention of quality test reports with voucher	To ensure quality of works executed by the Public Works Department, quality control certificate based on the tests done as per the guidelines of the Bureau of Indian Standards and the Indian Road Congress has been made mandatory for preparing and clearing bills. The preparation of bill for a work and its

		payment will henceforth have to be done only with quality test certificates. It was noticed that neither quality control certificate was recorded on paid vouchers nor MBs nor tests reports were found attached with paid vouchers. Thus, the quality of works executed during the period of audit could not ascertain in audit.
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In addition to the above deficiencies, information like time taken at various stages of projects such as Preliminary survey, Administrative approval, Expenditure sanction, Technical sanction and details of correspondences made with the contractors were not found available on record.

The Executive Engineer while [confirming](#) the facts and figures as correct stated that the point had been noted for future compliance and the said record would be maintained.

PART-III

(Follow up on findings outstanding of previous Inspection Reports)

Year of IR	Para No.	Description of Para	Remarks
2010-11	1	Non-involving of risk and cost clause at the time of recession of work extra burden to department Rs.115.80 lakh and outstanding recoveries of Rs 23.31 lakh from contractor.	Matter is under consideration of arbitration, hence compliance awaited. Para stands.
	10 (A)	Un-authorized encroachment of Govt. land.	Compliance awaited. Sub Para stands.
	10 (B)	Non -disposal of condemned machinery and unused material ₹9.69 lakh	Matter is under consideration of arbitration, hence compliance awaited. Para stands.
2012-13	4	Unfruitful expenditure ₹ 178.45 lakh on incomplete PMGSY road and non-recovery of advance Rs.15.59.lakh.	Work has been completed by the contractor. But recovery of machinery advances of ₹ 67638/- had not been made good so far. Hence para stands.
	5	Unfruitful expenditure ₹ 251.54 lakh on incomplete PMGSY road and non-recovery of advance Rs.41.03.lakh.and liquidated damages Rs.60.19 lakh.	Matter is under consideration of arbitration, hence compliance awaited. Para stands.
	6	Non recovery of mobilization / equipment advance Rs.44.86 lakh resulted in undue favour to contractor.	Compliance awaited. Para stands.
	7	Unfruitful expenditure Rs. 24.11 on held up road due to non obtaining forest clearance and non recovery of levied compensation Rs 17.94.	Compliance awaited. Para stands

	12	Irregular payment ₹ 3.74 Lakh due to hire of machinery without quotation also cash payment to owner of vehicles.	Compliance awaited. Para stands.
2013-14	Para-6	Analysis of work C/o 30 mtrs span RCC Box Girder Bridge over Gharloi Khad at RD 0/510 on Kao Kanda road via Narol in Mandi Distt.	
	(C)	Fictitious booking of material ₹10.00 lakh	Compliance awaited, point stands.
	(D)	Awarding of work at higher rates due to price escalation ₹17.28 lakh	Compliance awaited, point stands.
	(E)	Wrong debit to work ₹54.95 lakh	Compliance awaited point stands.
	(F)	Non levy of compensation for delay in execution of work ₹5.18 lakh	Compliance awaited point stands.
	G	Non recovery of Royalty ₹0.97 lakh	Compliance awaited point stands.
	(H)	Non recovery of cement ₹1.17 lakh	Compliance awaited point stands.
2014-15	6	Analysis of work---Construction of 70 mtr. Span steel truss bridge (Deck type) over Neri Khud on Slapper Tattapani road at km. 31/720 (Under NABARD RIDF-XIII)	
	(A)	Delay in completion of bridge resulted in unfruitful expenditure of Rs.209.58 lakh and cost overrun and time over run.	Compliance awaited Point stands.
	(B)	Irregular expenditure without obtaining technical sanction ₹209.58 lakh	Compliance awaited, point stands.
	(c)	Fictitious booking of material/irregular utilization of budget ₹96.52 lakh	Compliance awaited, point stands.
	(D)	Irregular utilization/drawl of funds in advance of requirement ₹50.50 lakh	Compliance awaited, point stands.
	(E)	Non approval of minus deviation ₹21.67 lakh	Compliance awaited, point stands.
	(F)	Fictitious charge of expenditure ₹12.17 lakh	Compliance awaited, point stands.
	(G)	Non affording debit of ₹1200543 (12.01) lakh	Compliance awaited, point stands.
	(H)	Non verification of accountal of material ₹13.59 lakh	Compliance awaited, point stands.
	(I)	Less recovery of royalty charges ₹0.11 lakh	Compliance awaited, point stands.

	(J)	Non production of vouchers and Stock valuing ₹12.35 lakh	Compliance awaited, point stands.
	(K)	Non Test check of measurements	Compliance awaited, point stands.
	Para-7	Non verification of accountal of material ₹12.03 lakh.	Compliance awaited. Para stands.
2015-16	2	Idle investment on construction of incomplete bridge of ₹ 231.64 lakh and undue favour (₹ 24.47 lakh) by not effecting recoveries from a contractor	Compliance awaited. Para stands.
2016-17	3	Analysis of work. Construction of Billagad Magrugalla Gagan Janed road KM 0/0 to 45/0 under RIDF-XV	Compliance awaited. Para stands.
	A	Non levy of compensation ₹7.07 lakh.	Compliance awaited. Para stands.
	B	Wrong debit to work-` 28.07 Lakh.	Compliance awaited. Para stands.
	C	Less deduction of royalty charges from contractors bills-` 0.94 Lakh.	Compliance awaited. Para stands.
	D	Non recovery of materials ₹0.87 lakh.	Compliance awaited. Para stands.
	E	Split up of jobs to avoid wide publicity and sanction from next higher authority-` 6.32 lakh	Compliance awaited. Para stands.
	F	Non production of records ₹15.54 lakh.	Compliance awaited. Para stands.
	G	Non production of Agreements ₹7.73 lakh.	Compliance awaited. Para stands.
	H	Delay in completion of work.	Compliance awaited. Para stands.
	7A	Non-verification of recovery of materials issued to contractors due to non-posting of store indents in the contractor ledger and non-verification of recovery in MBs ₹ 15.42 lakh.	Compliance awaited. Para stands.
	7B	Non production of MAS/ Log books-` 3.72 lakh.	Compliance awaited. Para stands.
	8	Non conduct of Physical verification of stock articles during 2016-17	Compliance awaited. Para stands.
	13	Misc. Irregularities.	Compliance awaited. Para stands.
	A	Non reconciliation of amount ₹3.40 lakh.	Compliance awaited. Para stands.
	B	Unserviceable store items valuing ₹6.66 Lakh.	Compliance awaited. Para

			stands.
	C	Non production of records ₹0.58 lakh.	Compliance awaited. Para stands.
2019-20	1	Inordinate delay in execution of construction of Link road to connect Panchayat Headquarter Chindi to Dachhain, Unfruitful expenditure Rs. 62.93 lakh	Compliance awaited. Para stands
	2	Irregular utilization/drawl of funds in advance without immediate requirement Rs. 250 lakh.	Compliance awaited. Para stands
	3	Undue favour to contractor Rs 1905.41 lakh	
	5	Analysis of work: Construction of Karsog Parlog road (RIDF-XII) 8/00 to 19/00.	
	B	Loss due to less deduction of government taxes ₹ 6768/-	Compliance awaited. Para stands
	C	Non Levy of compensation for delay ₹24.37 Lakh	Compliance awaited. Para stands
	D	Wrong booking of material to work ₹11.68 lakh	Compliance awaited. Para stands
	E	Irregular diversion of NABARD funds to ARMO 4.79 lakh	Compliance awaited. Para stands
	F	Wrong Debit to work ₹ 1.52 lakh	Compliance awaited. Para stands
	G	Wrong debit of stock item ₹ 20.44 lakh.	Compliance awaited. Para stands
	H	Irregular charged of Hand receipts to work ₹ 37800/-	Compliance awaited. Para stands
	I	Non production of record ₹ 5.37 lakh	Compliance awaited. Para stands
	J	Non Test check of measurements	Compliance awaited. Para stands
	K	Non production/ maintenance of records.	Compliance awaited. Para stands
	8	Non verification of account of material ₹ 39.35 lakh.	Compliance awaited. Para stands
2021-22	1.	Unfruitful Expenditure ₹ 380.59 lakh, Extra Expenditure of ₹ 107.62 due to delay in execution of PMGSY Work, Avoidable expenditure Rs 101.81 lakh due to non-clearance of Forest Land and non-levy of compensation on contractors	Compliance awaited. Hence para stands.

		amounting to Rs.29.48 lakh	
	2.	Inordinate delay on construction of Parlog road due to involving of forest land (8/0 to 23/0) Unfruitful expenditure due to delay in completion of road ₹ 370.01 lakh and avoidable expenditure ₹ 38.78 lakh	Compliance awaited. Hence para stands.
	3.	Irregular splitting up of work ₹ 391.00 lakh	Compliance awaited. Hence para stands.w
	4.	Work awarded by the department without availability of site resulted blockage of Govt. Money ₹ 74.54 lakh	Compliance awaited. Hence para stands.
	5.	Delay on construction of School Building at Kandla Sorta despite award Blockage of funds ₹ 36.00 lakh due to non-available of site/site dispute and unfruitful expenditure due to delay on construction ₹ 7.08 lakh	Compliance awaited. Hence para stands.
	6.	Undue favour to the contractor due to rescind the work under clause 3(a) instead of 3(c)for ₹ 1.89 lakh non start of execution of work despite award and Blockage of funds ₹ 15.70 lakh	Compliance awaited. Hence para stands.
	8.	Issue of material to works without requirement – resulted in fictitious booking /irregular utilization of budget at the fag-end of the year ₹ 67.08 lakh.	Compliance awaited. Hence para stands.
	10.	Excess expenditure over the amount of deposit received ₹ 200.81 Lakh.	Compliance awaited. Hence para stands.
	11.	Analysis of work C/o Road from Kahno to Prangan via Durkano Km. 0/0 to 5/585 under NABARD.	
		Delay in Award of Work	Compliance awaited. Hence, sub-para stands.
		Additional Work without Adminisrative Approval and technical santion	Compliance awaited. Hence, sub-para stands.
		Irregular Payment on account of price escalation-₹ 6.46 Lakhs.	Compliance awaited. Hence, sub-para stands.
		Unauthorized work beyond scope of work. Rs-5.22 Lakh	Compliance awaited. Hence, sub-para stands.
		Non test check of measurements	Compliance awaited. Hence, sub-para stands.
		(H) Short recovery of royalty ₹ 4.53 Lakh.	Compliance awaited. Hence, sub-para stands.

		(I) Short recovery on account of material issued to the contractor ₹ 0.08 Lakh	Compliance awaited. Hence, sub-para stands.
		Non-verification of GST reimbursement claim-₹ 21.25 Lakh	Compliance awaited. Hence, sub-para stands.
		Inadmissible 2A claim passed –undue favour to the contractor ₹ 6.19 Lakh.	Compliance awaited. Hence, sub-para stands.
		Work abstract and register of expenditure	Compliance awaited. Hence, sub-para stands.
	12.	Irregularities related to log books and Temporary Embezzlement/fraud in case of Diesel oil consumption thereof amounting to ₹ 13.14 lakh.	Compliance awaited. Hence, para stands.
	13.	Short-accountal of Material ₹ 1.20 Lakh	Compliance awaited. Hence, para stands.
	14.	Undue favour to Contractors by paying advance for work allotted and their non-adjustment in subsequent bills amounting to ₹ 50.25 lakhs	Compliance awaited. Hence, para stands.
	15.	Shortfall in remedial action to rectify the " Black spots"	Compliance awaited. Hence, para stands.
	16.	Non start of execution of work despite award due to non-available of site/site dispute. Blockage of funds ₹ 16.50 lakh due to non-start due to site dispute	Compliance awaited. Hence, para stands.
	18.	Non/Short recovery of royalty charges: ₹ 5.09 Lakhs	Compliance awaited. Hence, para stands.
	19.	Temporary misappropriation of government money ₹ 0.89 Lakh	Compliance awaited. Hence, para stands.

PART-IV (Best Practice)

-NIL-

PART-V (Acknowledgement)

The Executive Engineer and staff of HPPWD Division Karsog, District Mandi, Himachal Pradesh extended full cooperation during audit and all records as desired by the audit were provided to the audit party timely. The audit observations were discussed in the exit meeting held on 14.07.2023 and all minor irregularities/ minor points noticed during the course of audit were also discussed and settled

on the spot. The Executive Engineer assured an early compliance of the audit observations raised by the Audit team. The meeting was held in a cordial manner.